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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Right Now, Stocks Should Like a Higher 10-Year Yield

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Last Week's S&P 500 Index:
+0.9%%

Key takeaways

» *The recent rise in the 10-year yield has some market pundits concerned that the economic expansion will be negatively impacted.*

» *Stocks, however, are welcoming higher rates as a sign that growth and inflation are reflective of a positive economic environment.*

With all the day-to-day volatility supposedly caused by whether or not China will sit down for more trade talks or who might be getting fired by our president, the fact remains that the major equity indices are within a whisker of their all-time record highs. While many have proclaimed that the market has been climbing that proverbial "wall of worry" for the last couple of years, this strategist has to wonder, what worries? The economy is growing at a good pace on a rolling four-quarter basis (sorry but 4%+ growth is not the "new normal"), the labor market is finally tight with more job openings than unemployed workers, and to top it all off, inflation is likely to stay at moderate levels over at least the intermediate term based on our analysis.

But some stock market pundits are getting worked up over the fact that the 10-year Treasury note yield has risen to north of 3%. They claim that as the Federal Reserve (Fed) continues to hint at more rate increases the yield will climb higher and potentially snuff out our current long running expansion. But does that really make sense? Would the Treasury yield keep going up just because the Fed is raising the target on the fed funds rate? From this equity strategist's standpoint, it seems many in the financial world are not viewing this situation in the right light.

The first thing to ask yourself is why are longer-term interest rates (10-year yield) on the upswing? Rates were low for many years following the financial crisis because economic growth was sluggish and inflation was low. Some of you may remember that in the middle of 2012 and, more recently, in mid-2016 the 10-year yield briefly dipped below 1.4%. Concerns about deflation were running rampant in the financial press. But keep in mind that the only thing central bankers fear more than high inflation is deflation. Why is that? The reason is simple. The Fed does not want U.S. consumers holding off on buying something today because they think the product or service will be cheaper tomorrow. That is the consumer mentality Japan has been suffering from for most of the last 25 years after its massive real estate bubble burst in the early 1990s. This deflation concern virtually guaranteed the Fed would hold rates very low as long as needed.

Longer-term interest rates are on the rise, in our opinion, because economic growth in the U.S. has crawled higher and is likely to hit 2.9% this year. In addition, inflation, which the Fed fought long and hard to increase in the wake of the financial crisis, has finally reached the much-desired 2% level as measured by "core" Personal Consumption Expenditures (PCE). Higher interest rates are merely a reflection of this improved economic environment. Stocks have latched on to these positives and have traded to just above the top end of our year-end 2018 target. So, for now, do not fear higher interest rates as they are a reflection of economic positives now in place. As long as the Fed does not move the fed funds target (short-term rate) too high for the level of economic growth, we expect our outlook is likely to remain upbeat. Right now stocks should like a higher 10-year yield.

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